was it four? But come to think of it, those apples were sour valley apples, rather than prime hill apples. On the other hand, on that previous occasion, the apples were given in exchange for small women's shoes. This fellow is asking for man-size boots. Besides, in recent weeks a disease has decimated the flocks around town, and skins are becoming scarce. The tanners are starting to demand twice as many finished shoes in exchange for the same quantity of leather. Shouldn't that be taken into consideration?

In a barter economy, every day the shoemaker and the apple grower will have to learn anew the relative prices of dozens of commodities. If one hundred different commodities are traded in the market, then buyers and sellers will have to know 4,950 different exchange rates. And if 1,000 different commodities are traded, buyers and sellers must juggle 499,500 different exchange rates![5] How do you figure it out?

It gets worse. Even if you manage to calculate how many apples equal one pair of shoes, barter is not always possible. After all, a trade requires that each side want what the other has to offer. What happens if the shoemaker doesn't like apples and if, at the moment in question, what he really wants is a divorce? True, the farmer could look for a lawyer who likes apples and set up a three-way deal. But what if the lawyer is full up on apples but really needs a haircut?

Some societies tried to solve the problem by establishing a central barter system that collected products from specialist growers and manufacturers and distributed them to those who needed them. The largest and most famous such experiment was conducted in the Soviet Union, and it failed miserably. 'Everyone would work according to their abilities, and receive according to their needs' turned out in practice into 'everyone would work as little as they can get away with, and receive as much as they could grab'. More moderate and more successful experiments were made on other occasions, for example in the Inca Empire. Yet most societies found a more easy way to connect large numbers of experts – they developed money.

Shells and Cigarettes

Money was created many times in many places. Its development required no technological breakthroughs – it was a purely mental revolution. It